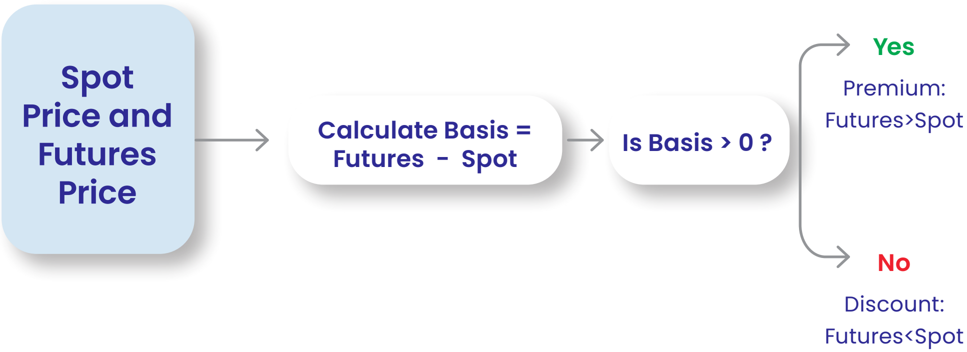
Suppose Reliance Industries, trading at ₹3,000 per share, is expected to rise in value. It is possible for the futures price to be ₹3,200 or anything higher than the spot price of ₹3,000. It is because the market expects Reliance Industries' stock price to rise by the expiry date.

This difference between the futures and the spot price is called the 'basis'. It can be a premium or a discount.



You can calculate the futures price using the following formula:

$$\textit{Futures price} = \textit{Spot price} \times ert$$

Where:
'r' is the risk-free interest rate
't' is the time in years
'e' is the Euler's number or 2.718281828459045

1.2. Basics of Options Contracts

Let us now move on to options, the second type of derivatives. Many believe that they are an improvement on futures contracts. Let us compare them and see.

Criteria	Futures	Options
Leverage*	They offer leverage. You only pay the margin instead of the full value of the asset.	They provide more leverage. There is no mark-to-market margin requirement, unlike in futures.
Flexibility	Traders are obligated to complete the transaction upon expiration.	Option buyers have the right to complete the transaction but are not obligated to do so.